



“Based on pro-forma FY20, the [Citi] deal is valued at 18.7x FY20 PAT of ₹842 crore. The combined deal valuation is attractive considering SBI Cards and IIFL’s wealth businesses as proxy”

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“Mid-corporate is a good sweet spot to have in your portfolio because of the competition (for rates) in the large corporates. But they have to walk the talk in terms of aggressively pursuing this new business”

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journey and merchant cash,” says Sameer Shetty, Head of Digital Banking. Today, 68 per cent of the bank’s retail FDs by volume, 46 per cent of the new mutual fund SIP sales by volume, 46 per cent of personal loans and 78 per cent of its credit cards issued in 2021-22 are opened digitally. “We are now asking ourselves the question: what will it take for us to become a very large, important, successful player on the digital side? That’s the journey we’re embarking on now,” says Chaudhry.

THREE YEARS AGO, Chaudhry promised an ROE of 18 per cent by March 2022, but that target is still a long way off. “It’s an aspirational number. We will continue to move up on our ROE journey,” he says. Chief Financial Officer Puneet Sharma says the bank has already delivered 16.67 per cent annualised ROE on a consolidated basis in Q4 of 2021-22. “That gives us comfort that the aspirational target of 18 per cent is very much reachable,” he says.

There are many other moving parts that, too, could affect ROE in the future. First, can the bank extract the most from Citi’s high-end customers? “The bank would have to up its game with a well-defined plan to limit attrition and create sustained value for the Citibank portfolio,” says Arora. Krishnan of HDFC Securities says this

means several operational changes such as revamp of customer services, better tech integration, etc.

Second, the bank’s focus on high-rated corporates will not give a higher return or yield. The challenge is to raise the bar in terms of earning disproportionate fee income and attracting additional business from corporate clients. The share of wholesale banking has fallen from 51 per cent in FY19 to 44 per cent in FY22. The bank admits it is not very comfortable with the current pricing. The corporate sector, flush with funds, is shopping for the lowest interest rates. In addition, private sector rivals like HDFC Bank and ICICI Bank are also upping their game. “Axis has lagged its peers in terms of leveraging the pricing power of its franchise. I think that is what is impacting the return on assets at a headline level,” says Krishnan. Chaudhry disagrees: “The disproportionate share of profits in banking will go to the top four or five tech-savvy service-oriented institutions. And you’ll see that not only in banking, but also in mutual funds, securities and other non-banking businesses.”

Third, the bank has taken bets on new high-yielding verticals like mid-corporate plus commercial banking group, which includes SME, unsecured loans, used cars, small business banking, etc. But scale is missing. It could also increase its share of unsecured loans, which are high yielding but risky given the current volatile environment.

The bank’s cost-to-income ratio of 48.83 is also high compared to HDFC Bank (41.04) and ICICI Bank (40.65). “We have been guiding towards a 2 per cent cost to assets. We are seeing enough opportunities for growth. We do not want [costs] to come in the way of grabbing those opportunities because it would be good for us in the long run to gain that market share,” says Chaudhry.

The surprises, however, could come from the bank’s acquisition strategy. “We have been clear that we will continue to look for acquisitions in the bank as well as the subsidiaries, which allow us to leapfrog a certain pace of growth, or get a skill set which we don’t have, or get a certain client set, which for us will take a long time to get,” explains Chaudhry (see *Axis’s Buying Spree*). When asked to describe the transformation journey, he offers a car analogy. “We are in a car, which did go off the road a little bit,” he begins. “We are completely overhauling the engine. We are adding features to the car to ensure that it is safe and never goes off the road, but at the same time, increasing the speed of the car, and changing the aspiration levels of the people who are sitting in the car.”

So, at what speed is the car moving currently? “I have to keep assuring my team that it can run a lot faster,” he says. Call the glass half empty or half full, Chaudhry’s vision for Axis Bank’s future is as sharp as cut glass. **BT**

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